Ch. 4 Exchange Rate Determination

Direct US Quote - prices are in USD

Jan 1 $0.70/CAD

Feb 1. $0.75/CAD

$\%\Delta$-change $= \frac{S_1 - S_0}{S_0} = \frac{\$0.75 - \$0.70}{\$0.70} =$

$= 0.071429 \cdot 100\%$

CAD appreciated $\rightarrow = +7.14\%$

Change in value (based on direct quote) with respect to foreign currency

In April € was priced at $1.12/€

and in May € was $1.11/€.

Calculate and interpret

change (%Δ) in currency value

$$\%\Delta = \frac{\$1.11/€ - \$1.12/€}{\$1.12/€} =$$

$$= \frac{\$1.11/€}{\$1.12/€} - 1 =$$

$$= -0.89\% \quad (89 \text{ basis points})$$

-> Euro depreciated by 0.89%

-> $ Appreciated

In context of USA exchange rates

→ Increase in demand for £
→ Increase in supply for USD

→ value of £↑
value of USD↓

→ increase in demand for USD
→ increase in supply of £

→ value of USD↑
→ value of £↓

Factors Influencing Exchange Rates

relative change, holding else constant

- − Δ INFLATION
- + Δ INTEREST RATES
- − Δ NATIONAL INCOME
- + Δ EXPECTATIONS
- Δ GOVERNMENT CONTROLS

↓ Δ INFLATION

→ prices ↑ up

→ buy more imports – sell USD to buy other currency

→ increase supply of USD

value of USD decreases

+ △ INTEREST RATES

- decrease in money supply from central
- investors will deposit funds in a country with higher interest rates - buy USD
- → increasing demand for USD

- △ NATIONAL INCOME
  - your country in aggregate can buy more
  - buy more imports
  - increase the supply of USD

+Δ EXPECTATIONS

-> expectation of appreciation of currency will cause an increased demand for currency, thus increasing value of currency

-> expectation of depreciation will cause the opposite effect